

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 959

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING CHAPTER 18, TITLE 34, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 34-1801D, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING INITIATIVE PROCEDURES FOR FIRE PROTECTION DISTRICTS AND AMBULANCE SERVICE DISTRICTS; AMENDING SECTION 63-802, IDAHO CODE, TO REVISE PROVISIONS REGARDING LIMITATIONS OF BUDGET REQUESTS AND CERTAIN EXCEPTIONS; AMENDING SECTION 31-1423, IDAHO CODE, TO PROVIDE A CORRECT CODE REFERENCE; AND DECLARING AN EMERGENCY, PROVIDING RETROACTIVE APPLICATION, AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 18, Title 34, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 34-1801D, Idaho Code, and to read as follows:

34-1801D. INITIATIVE PROCEDURES FOR FIRE PROTECTION DISTRICTS AND AMBULANCE SERVICE DISTRICTS. Each fire protection district and ambulance service district shall allow direct legislation by the people through the initiative to increase or decrease the property tax budget of the district. Such districts shall follow the procedures set forth in this chapter subject to the following provisions:

(1) The county prosecuting attorney of the county in which the district office is located shall perform those duties assigned to the attorney general.

(2) The district clerk shall perform those duties assigned to the secretary of state.

(3) District initiative elections shall be held on the Tuesday following the first Monday in November in odd-numbered years.

(4) Pursuant to section 34-1809, Idaho Code, the county prosecuting attorney of the county in which the district office is located shall prepare recommendations concerning revision of the initiative, shall issue a certificate of review to the district clerk, and shall prepare the ballot title and short title.

(5) An action brought pursuant to section 34-1809, Idaho Code, challenging the ballot title or short title shall be brought in the district court in the county in which the district office is located.

(6) To be eligible to sign a petition for a district initiative, a person shall be a qualified elector of the district at the time of signing thereon.

(7) To perfect a petition for a district initiative, the petition shall have signatures from at least twenty percent (20%) of the total number of qualified electors voting in the most recent general district election actually held in November of an odd-numbered year.

1 (8) The provisions of section 34-1805, Idaho Code, relating to the num-
 2 ber of required signatures and geographic distribution of signatures shall
 3 not apply to district initiatives.

4 (9) Any person who circulates a petition for a district initiative
 5 shall be a resident of the state of Idaho and at least eighteen (18) years of
 6 age and, pursuant to section 34-1807, Idaho Code, shall certify such per-
 7 son's belief that each signer of the petition is a qualified elector of the
 8 state of Idaho and the district.

9 (10) A copy of all petitions and signature sheets shall be kept by the
 10 district clerk as a public record.

11 (11) The deadline for submission of signatures to the district clerk is
 12 one hundred eighty (180) days after the petitioners for initiative receive
 13 the official ballot title from the district clerk, or April 30 of the year of
 14 the initiative election, whichever is earlier.

15 (12) Petitioners must submit the signed initiative petitions to the
 16 county clerk for verification no later than the close of business on the
 17 first day of May in the year of the initiative election, or one hundred eighty
 18 (180) days after the petitioners receive the official ballot title from the
 19 district clerk, whichever is earlier.

20 (13) The county clerk shall have sixty (60) calendar days to verify the
 21 signatures as provided in section 34-1802(3), Idaho Code.

22 (14) The district board shall have the option to adopt the property tax
 23 budget reduction proposed by initiative within thirty (30) days after the
 24 notification pursuant to section 34-1807, Idaho Code, provided that the pe-
 25 tition has the required number of signatures. The district board shall hold
 26 a public hearing on the proposed property tax budget reduction within the
 27 thirty (30) day period, preceded by legal notice published once in the dis-
 28 trict at least seven (7) days preceding the hearing. If the property tax bud-
 29 get reduction is not adopted by the district board by the end of the thirty
 30 (30) day period, the initiative shall be put on the ballot.

31 (15) As provided by sections 34-1812A through 34-1812C, Idaho Code, a
 32 voters' pamphlet shall be prepared by the district clerk.

33 (16) To be passed into law, an initiative shall be approved by the same
 34 percentage of votes cast as required for the passage of a budget increase
 35 pursuant to section 63-802(1)(h), Idaho Code.

36 (17) The district board shall issue the proclamation provided by sec-
 37 tion 34-1813, Idaho Code.

38 (18) The district clerk shall notify the county clerk and the state tax
 39 commission of any property tax budget change, within thirty (30) days after:

40 (a) The proclamation by the district board provided in subsection (17)
 41 of this section; or

42 (b) The approval by the district board of a property tax budget reduc-
 43 tion that obviates the need to place the initiative on the ballot pur-
 44 suant to subsection (14) of this section.

45 (19) This section does not apply to bond elections.

46 SECTION 2. That Section 63-802, Idaho Code, be, and the same is hereby
 47 amended to read as follows:

48 63-802. LIMITATION ON BUDGET REQUESTS -- LIMITATION ON TAX CHARGES --
 49 EXCEPTIONS. (1) Except as otherwise provided in this section, no taxing dis-

1 trict shall certify a budget request for an amount of property tax revenues
 2 to finance an annual budget that exceeds the maximum sum permitted under this
 3 section:

4 (a) (i) The highest dollar amount of property taxes certified for
 5 its annual budget for any one (1) of the three (3) tax years preced-
 6 ing the current tax year, which amount may be increased by a growth
 7 factor of not to exceed three percent (3%) plus the amount of rev-
 8 enue calculated as described in this subsection. The Except for
 9 fire protection districts and ambulance service districts, the
 10 taxing district shall determine what portion of the three percent
 11 (3%) increase permitted under this subparagraph that it requires
 12 and then calculate a preliminary levy rate based on the percent
 13 chosen. In calculating the preliminary levy rate, the most cur-
 14 rent taxable market value shall be used, except that for taxable
 15 market values of centrally assessed operating property, the prior
 16 year's valuation may be used instead of the current year's taxable
 17 market values. The preliminary levy rate shall be multiplied by
 18 the value shown on the new construction roll compiled pursuant to
 19 section 63-301A, Idaho Code, and by ninety percent (90%) of the
 20 value of annexation during the previous calendar year, as cer-
 21 tified by the state tax commission for taxable market values of
 22 operating property of public utilities and by the county assessor.
 23 For fire protection districts and ambulance service districts,
 24 the previous year's levy rate shall be multiplied by the value
 25 shown on the new construction roll compiled pursuant to section
 26 63-301A, Idaho Code, and by ninety percent (90%) of the value of
 27 annexation during the previous calendar year, as certified by the
 28 state tax commission for the taxable market values of operating
 29 property of public utilities and by the county assessor; except
 30 for a fire protection district annexing property prior to July 1,
 31 2021, pursuant to section 31-1429, Idaho Code, the new levy rate
 32 shall be multiplied by one hundred percent (100%) of the value of
 33 any such property annexed prior to July 1, 2021.

34 (ii) The Except as provided in this subparagraph, the total budget
 35 increase calculated under this paragraph must not exceed eight
 36 percent (8%), except. For fire protection districts and ambulance
 37 service districts, the total budget increase calculated under
 38 this paragraph shall not exceed fifteen percent (15%). Provided,
 39 however, that any increase in the amount of property tax revenue
 40 to finance an annual budget added as a result of the termination,
 41 deannexation, plan modification of, or the withdrawal of certain
 42 taxing districts from, a revenue allocation area of an urban re-
 43 newal district pursuant to section 63-301A(3)(f), (i), (j), or
 44 (k), Idaho Code, or section 50-2908(1)(g), Idaho Code, shall not
 45 be subject to such limitation.

46 (iii) Following the first year in which a fire protection district
 47 has annexed city property pursuant to section 31-1429, Idaho Code,
 48 the city shall subtract an amount equal to the moneys spent on fire
 49 protection services during the last full year the city provided

1 fire protection services to its residents from its budget limita-
2 tion under this section.

3 (b) If the taxing district has not imposed a levy for three (3) or more
4 years, the highest dollar amount of property taxes certified for its an-
5 nual budget for the purpose of paragraph (a) (i) of this subsection shall
6 be the dollar amount of property taxes certified for its annual budget
7 during the last year in which a levy was made.

8 (c) The dollar amount of the actual budget request may be substituted
9 for the amount in paragraph (a) of this subsection if the taxing dis-
10 trict is newly created, except as may be provided in paragraph (i) of
11 this subsection.

12 (d) This section does not apply to school district levies imposed in
13 section 33-802, Idaho Code.

14 (e) (i) In the case of a fire protection district or ambulance ser-
15 vice district for which less than the maximum allowable increase
16 in the dollar amount of property taxes is certified for annual bud-
17 get purposes in any one (1) year prior to property tax year 2026,
18 or any other nonschool district for which less than the maximum al-
19 lowable increase in the dollar amount of property taxes is certi-
20 fied for annual budget purposes in any one (1) year, such a dis-
21 trict may, in any following year, recover the forgone increase by
22 certifying, in addition to any increase otherwise allowed, any or
23 all of the increase originally forgone. Provided however, that
24 prior to budgeting any forgone increase, the district must provide
25 notice of its intent to do so, hold a public hearing that may be in
26 conjunction with its annual budget hearing, and certify by resolu-
27 tion the amount of forgone increase to be budgeted and the specific
28 purpose for which the forgone increase is being budgeted. Upon
29 adoption of the resolution, the clerk of the district shall file a
30 copy of the resolution with the county clerk and the state tax com-
31 mission. Said additional amount shall be included in future cal-
32 culations for increases as allowed, except as provided in subpara-
33 graph (iii) of this paragraph.

34 (ii) If the forgone increase is budgeted for the purpose of main-
35 tenance and operations, the rate of recovering the reserved for-
36 gone moneys may increase the taxing district's budget by no more
37 than one percent (1%) per year.

38 (iii) If the forgone increase is budgeted for a capital project or
39 projects, the rate of recovering the reserved forgone moneys may
40 not exceed three percent (3%) of the taxing district's budget for
41 the year in which the forgone increase is budgeted. Forgone moneys
42 budgeted for a capital project must be deducted from the taxing
43 district's forgone balance in the year in which it is budgeted.
44 Upon completion of such a capital project, the taxing district
45 shall certify such completion to the state tax commission and
46 county clerk. If, upon certification, the state tax commission
47 finds that the taxing district included forgone moneys for a capi-
48 tal project in calculating the increase permitted under paragraph
49 (a) of this subsection, the state tax commission shall direct the
50 taxing district to reduce its property tax budget for any year

1 in which the forgone moneys were used to calculate a budget in-
2 crease, in an amount equal to the forgone moneys budgeted plus any
3 increases attributed to the forgone moneys improperly included in
4 the taxing district's property tax budget. For the purpose of this
5 paragraph, a capital project includes:

- 6 1. The construction, expansion, renovation, or replacement
7 of public facilities, including the acquisition of land and
8 other site improvements;
- 9 2. The construction, expansion, or reconstruction of public
10 works improvements, including roads, bridges, water sys-
11 tems, sewer systems, and broadband systems; and
- 12 3. The purchase of equipment with a useful life of ten (10)
13 years or more.

14 (f) If a fire protection district or ambulance service district elects
15 to budget less than the maximum allowable increase in the dollar amount
16 of property taxes for any property tax year prior to 2026, or any other
17 taxing district elects to budget less than the maximum allowable in-
18 crease in the dollar amount of property taxes, the taxing district may
19 reserve the right to recover all or any portion of that year's forgone
20 increase in a subsequent year by adoption of a resolution specifying
21 the dollar amount of property taxes being reserved. Otherwise, that
22 year's forgone increase may not be recovered under paragraph (e) of this
23 subsection. The district must provide notice of its intent to do so and
24 hold a public hearing that may be in conjunction with its annual budget
25 hearing, if applicable. The resolution to reserve the right to recover
26 the forgone increase for that year shall be adopted at the annual bud-
27 get hearing of the taxing district if the district has a budget hearing
28 requirement.

29 (g) In the case of cities, if the immediately preceding year's levy sub-
30 ject to the limitation provided by this section is less than 0.004, the
31 city may increase its budget by an amount not to exceed the difference
32 between 0.004 and the actual prior year's levy multiplied by the prior
33 year's market value for assessment purposes. The additional amount
34 must be approved by sixty percent (60%) of the voters voting on the ques-
35 tion at an election called for that purpose and held on the date in May or
36 November provided by law and may be included in the annual budget of the
37 city for purposes of this section.

38 (h) A taxing district may submit to the electors within the district
39 the question of whether the budget from property tax revenues may be
40 increased beyond the amount authorized in this section, but not beyond
41 the levy authorized by statute. The additional amount must be approved
42 by sixty-six and two-thirds percent (66 2/3%) or more of the voters
43 voting on the question at an election called for that purpose and held
44 on the May or November dates provided by section 34-106, Idaho Code.
45 If approved by the required minimum sixty-six and two-thirds percent
46 (66 2/3%) of the voters voting at the election, the new budget amount
47 shall be the base budget for the purposes of this section.

48 (i) When a nonschool district consolidates with another nonschool
49 district or dissolves and a new district performing similar governmen-
50 tal functions as the dissolved district forms with the same boundaries

1 within three (3) years, the maximum amount of a budget of the district
 2 from property tax revenues shall not be greater than the sum of the
 3 amounts that would have been authorized by this section for the district
 4 itself or for the districts that were consolidated or dissolved and in-
 5 corporated into a new district.

6 (j) This section does not apply to cooperative service agency levies
 7 imposed in sections 33-317 and 33-317A, Idaho Code.

8 (k) The amount of money received in the twelve (12) months immediately
 9 preceding June 30 of the current tax year as a result of distributions of
 10 the tax provided in section 63-3502B(2), Idaho Code.

11 (2) In the case of fire districts, during the year immediately follow-
 12 ing the election of a public utility or public utilities to consent to be pro-
 13 vided fire protection pursuant to section 31-1425, Idaho Code, the maximum
 14 amount of property tax revenues permitted in subsection (1) of this section
 15 may be increased by an amount equal to the current year's taxable value of the
 16 consenting public utility or public utilities multiplied by that portion of
 17 the prior year's levy subject to the limitation provided by subsection (1) of
 18 this section.

19 (3) No board of county commissioners shall set a levy, nor shall the
 20 state tax commission approve a levy for annual budget purposes, which ex-
 21 ceeds the limitation imposed in subsection (1) of this section unless au-
 22 thority to exceed such limitation has been approved by a majority of the tax-
 23 ing district's electors voting on the question at an election called for that
 24 purpose and held pursuant to section 34-106, Idaho Code, provided however,
 25 that such voter approval shall be for a period of not to exceed two (2) years.

26 (4) The amount of property tax revenues to finance an annual budget does
 27 not include revenues from nonproperty tax sources and does not include rev-
 28 enue from levies for the payment of judicially confirmed obligations pur-
 29 suant to sections 63-1315 and 63-1316, Idaho Code, and revenue from levies
 30 that are voter-approved for bonds, override levies or supplemental levies,
 31 plant facilities reserve fund levies, school emergency fund levies, or for
 32 levies applicable to newly annexed property or for levies applicable to new
 33 construction as evidenced by the value of property subject to the occupancy
 34 tax pursuant to section 63-317, Idaho Code, for the preceding tax year. The
 35 amount of property tax revenues to finance an annual budget does not include
 36 any property taxes that were collected and refunded on property that is ex-
 37 empt from taxation, pursuant to section 63-1305C, Idaho Code.

38 (5) The amount of property tax revenues to finance an annual budget
 39 shall include moneys received as recovery of property tax for a revoked pro-
 40 visional property tax exemption under section 63-1305C, Idaho Code.

41 (6) For tax year 2023, before calculating the amount required in sub-
 42 section (1) (a) (i) of this section, the board of county commissioners shall
 43 reduce the approved property tax levy portion of its budget for the immedi-
 44 ate prior three (3) years in an amount equal to the amount levied for indigent
 45 public defense. The reduced budget amount shall be the base budget for the
 46 purpose of subsection (1) (a) (i) of this section.

47 SECTION 3. That Section 31-1423, Idaho Code, be, and the same is hereby
 48 amended to read as follows:

1 31-1423. LEVY -- RECOMMENDED LEVY -- ELECTION. (1) Each year, immedi-
2 ately prior to the annual county levy of taxes, the board of commissioners
3 of each fire protection district, organized and existing under this chapter,
4 may levy a tax upon all the taxable property within the boundaries of such
5 district sufficient to defray the cost of equipping and maintaining the dis-
6 trict of twenty-four hundredths percent (.24%) of market value for assess-
7 ment purposes, to be used for the purposes of this chapter and for no other
8 purpose. The levy shall be made by resolution entered upon the minutes of the
9 board of commissioners of the fire protection district, and it shall be the
10 duty of the secretary of the district, immediately after entry of the resolu-
11 tion in the minutes, to transmit to the county auditor and the county asses-
12 sor certified copies of the resolution providing for such levy. Said taxes
13 shall be collected as provided by section 63-812, Idaho Code.

14 (2) If two (2) or more fire protection districts consolidate into one
15 (1) district, the provisions of section 63-802, Idaho Code, shall apply to
16 the consolidated district's budget request. In addition, the consolidated
17 district shall receive the benefit of foregone increases accumulated by the
18 former districts under section 63-802~~(1)(a)~~, Idaho Code.

19 SECTION 4. An emergency existing therefor, which emergency is hereby
20 declared to exist, Section 2 of this act shall be in full force and effect
21 on and after passage and approval and retroactively to January 1, 2026, and
22 Sections 1 and 3 of this act shall be in full force and effect on and after
23 July 1, 2026.